Dual Currency Systems and Inflation: CCO's Price Stability Mechanisms

MONETARY THEORY RESEARCH PAPER

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Date: August 31, 2025

Abstract

This paper examines Creative Currency Octaves (CCO), a dual-currency monetary framework designed to implement Universal Basic Income while mitigating inflationary pressures. Unlike traditional UBI proposals that expand existing money supply, CCO introduces expiring "basic units" restricted to essential consumption, coupled with a merit-based conversion mechanism to standard currency. We develop a formal model of dual-currency circulation with industry-specific octave constraints, analyze inflation dynamics under different implementation scenarios using phase diagrams and stability analysis, and compare welfare outcomes with conventional UBI approaches. Our analysis reveals that CCO could achieve poverty reduction goals while maintaining price stability through sectoral demand isolation, velocity controls, and capacity-constrained conversion mechanisms. Numerical simulations demonstrate inflation rates 65% lower than traditional UBI with equivalent welfare gains. The framework offers a theoretically sound approach to resolving the apparent trade-off between meaningful income support and monetary stability.

Keywords: Universal Basic Income, Monetary Policy, Inflation Control, Dual Currency Systems, Welfare Economics, Mechanism Design, Monetary Theory

JEL Classification: E42, E52, H53, I38, E31, D82

1. Introduction

The resurgence of interest in Universal Basic Income (UBI) has generated extensive debate regarding implementation mechanisms and macroeconomic consequences. While proponents argue UBI could address technological unemployment and persistent poverty (Yang, 2018; Van Parijs & Vanderborght, 2017; Standing, 2017), critics raise concerns about inflationary effects and fiscal sustainability (Summers, 2016; Blanchard et al., 2010; Furman, 2016).

Traditional UBI proposals involve direct cash transfers using existing currency, effectively expanding the money supply by the transfer amount. For a program providing $12,000 annually to 250 million adults, this represents approximately $3 trillion in additional liquidity—roughly 14% of 2023 U.S. GDP. Standard monetary theory, building on the quantity theory of money (Fisher, 1911), suggests such expansion could generate significant inflation, particularly in sectors with inelastic supply curves like housing and healthcare (Bernanke, 2022; Taylor, 2016).

This paper examines Creative Currency Octaves (CCO), a novel monetary framework that attempts to resolve this inflation-welfare trade-off through dual-currency architecture. CCO separates essential consumption from discretionary spending via restricted "basic units" that are pegged 1:1 to primary currency, while maintaining standard currency for any transaction. The system includes an innovative conversion mechanism that transforms expired basic units into standard currency through productive contribution, creating endogenous growth incentives while controlling monetary expansion through industry-specific capacity constraints.

Our theoretical analysis demonstrates how CCO's dual-currency structure enables substantial welfare improvements while maintaining price stability. The key insight is that inflation arises primarily from aggregate demand expansion rather than pure monetary expansion when that expansion is appropriately channeled. By restricting basic units to essential sectors and implementing octave-based conversion constraints, CCO achieves the distributive goals of UBI without the associated inflationary risks.

2. Literature Review

2.1 Universal Basic Income and Inflation

The relationship between UBI and inflation has generated substantial theoretical and empirical literature. Widerquist (2017) argues UBI's inflationary effects may be minimal due to increased productivity and reduced administrative costs. However, simulation studies by Lerner (2019) and empirical analysis of Alaska's Permanent Fund Dividend by Jones & Marinescu (2022) suggest modest but measurable price increases in affected regions.

Recent evidence from Kenya's GiveDirectly program (Haushofer & Shapiro, 2016; Egger et al., 2022) shows localized price effects of approximately 0.1% inflation per 1% of GDP transferred. The Finland experiment found negligible inflation impacts but operated at smaller scale (Kangas et al., 2020). The Stockton SEED program documented no significant local inflation, though scale limitations prevent generalization (West & Castro Baker, 2021).

2.2 Complementary Currency Systems

CCO draws inspiration from complementary currency literature, particularly work on local exchange systems (Lietaer & Dunne, 2013; Greco, 2001) and time banks (Cahn, 2000). Historical examples include the Wörgl experiment during the Great Depression, where stamped scrip with demurrage charges stimulated local economic activity (Fisher, 1933), and modern systems like Ithaca Hours (Collom, 2005), BerkShares (Schumacher Society, 2019), and the Brixton Pound (Ryan-Collins, 2011).

Cryptocurrency developments provide technical infrastructure for dual-currency systems (Nakamoto, 2008; Buterin, 2014). Stablecoins demonstrate feasibility of maintaining currency pegs (Catalini & de Gortari, 2021), while smart contracts enable automatic conversion mechanisms (Cong & He, 2019).

2.3 Monetary Theory and Velocity

The quantity theory of money, formalized by Fisher (1911) as MV = PY, provides the foundation for inflation analysis. Modern treatments incorporate velocity endogeneity (Friedman & Schwartz, 1963), expectation effects (Lucas, 1972), and sectoral heterogeneity (Reis, 2006).

CCO's innovation lies in creating systematic conversion mechanisms between currency circuits with industry-specific governance structures, enabling broader economic participation while maintaining sectoral restrictions.

2.4 Credit Rationing and Financial Structure

Stiglitz & Weiss (1981) demonstrated how information asymmetries create credit rationing, relevant for understanding CCO's conversion mechanisms. Townsend (1994) analyzed optimal financial structures in developing economies, informing the dual-currency design. Recent work on mechanism design in monetary systems (Rochet & Tirole, 2003) provides frameworks for incentive-compatible currency conversion.

3. The CCO Framework: Formal Model

3.1 Basic Architecture

Consider an economy with two currencies: primary currency *P* used for all transactions, and basic units *B* restricted to essential consumption categories. Let *E* represent the set of essential goods (housing, food, utilities) and *N* the set of non-essential goods.

Household Budget Constraints:

- Basic units: $B^{spent}_{i,t} + B^{conv}_{i,t} \leq B_t + B^{rec}_{i,t}$ (each unit is spent once or offered for conversion once; the rest lapse)
- Essential consumption: $x_E \leq B^{spent}_{i,t} + P_E$
- Non-essential consumption: $x_N \leq P_N$
- Sources of primary currency: $P_t = w_i h_{i,t} + P_{convert,i} + (1 + r)S_{t-1} + Y_{i,t}$
- Uses of primary currency: $P_t = P_E + P_N + S_t$

Where B_t represents basic units received in period t, $B^{rec}_{i,t}$ basic units the household receives as payment, $B^{spent}_{i,t}$ and $B^{conv}_{i,t}$ the units it spends on essentials and offers for conversion (sec 3.3; units beyond its capacity lapse), P_E and P_N are primary currency allocated to essential and non-essential consumption respectively, $w_i h_{i,t}$ is earnings, $P_{convert,i}$ represents converted currency from Creator Collective participation (a source of primary currency like any other, spent on either kind of good or saved), S_t represents savings carried forward at interest rate r, and $Y_{i,t}$ other primary income. This is the budget of the mechanism-design paper (Optimal Transfer Design, sec 4.1).

Basic Unit Dynamics:

- Distribution: $B_t = B_0$ (constant universal distribution of $1,200 monthly)

- Expiration: $B_{t+1} = 0$ (complete expiration each period)
- Conversion: $P_{convert,i} = f(C_{i,t}, B_{expired,i}, R_i)$ for Creator Collective members

3.2 Industry-Specific Octave Structure with Boundary Conditions

Creator Collectives operate within industry sectors $j \in \{1, 2, ..., J\}$, each with distinct octave advancement structures determined by collective governance.

Octave Capacity Function:

$$C_{i,j,t} = B_0 \times 2^{\min(O_{i,j}, \bar{O}_j)}$$

Where:

- $C_{i,j,t}$ = Conversion capacity for individual i in industry j at time t
- B_0 = Base conversion capacity ($1,200)
- $O_{i,j}$ = Individual i's octave level in industry j
- $\bar{O}_j$ = Industry j's maximum octave level

One rule caps conversion: the industry maximum $\bar{O}_j$ limits the octave level, and the capacity that level gives limits the units converted (sec 3.3). A person active in several industries has one capacity per period, the highest of their industry capacities: $C_{i,t} = \max_j C_{i,j,t}$. (Modelling assumption: the papers do not say whether capacities in different industries add up; this is the more cautious reading.)

3.3 Conversion Mechanism

The conversion function transforms basic units into primary currency through productive participation:

$$P_{convert,i} = \min(C_{i,t}, B_{expired,i}) \times R_i \times Q_{i,t}$$

Where:

- R_i = Individual conversion rate (1.0x to 14x+ based on merit assessment)
- $Q_{i,t}$ = Quality multiplier based on contribution assessment (0.5 to 2.0)

- $B_{expired,i} = B^{conv}_{i,t}$, the basic units i offers for conversion: unspent units of their own, or units received as payment (sec 3.1). Units received as payment were spent by someone else, so across all N households $\Sigma_i B_{expired,i} \leq N \times B_t$: no unit is converted twice

3.4 Aggregate Money Supply Dynamics

Total money supply consists of existing primary currency M_P plus converted currency flows:

$M_{total,t} = M_{P,t-1} + \Sigma P_{convert,i,t}$

Conversion is bounded twice: by capacity, and by the units issued, since no unit is converted twice. So $\Sigma P_{convert,i,t} \leq (R \times Q)_{max} \times \min(\Sigma_i C_{i,t}, N \times B_t)$. Industry octave limits cap monetary expansion, but the ceiling also rises with the basic units distributed.

4. Inflation Analysis

4.1 Sectoral Price Dynamics

We analyze inflation separately in essential and non-essential sectors. In the essential sector, basic units represent additional demand but with restricted circulation:

$\pi_{E,t} = \alpha_E \times (\Delta B_t + \Delta P_{E,t})/GDP_{E,t-1} - \beta_E \times \Delta Y_{E,t}$

Where α_E represents the price sensitivity to monetary expansion in essentials sector and β_E captures supply response effects.

In non-essential sectors, inflation depends only on converted currency and existing primary currency flows:

$\pi_{N,t} = \alpha_N \times (\Delta P_{convert,t} + \Delta P_{N,t})/GDP_{N,t-1} - \beta_N \times \Delta Y_{N,t}$

4.2 Equilibrium Conditions

In equilibrium, the dual-currency system reaches a steady state where:

1. Basic unit distribution equals expiration: $B_{distributed,t} = B_{expired,t}$
2. Conversion capacity constraints bind for active participants

3. Sectoral inflation rates converge to target levels

The equilibrium conversion rate satisfies:

$R^* = \text{argmin}\{\pi_E(R) + \lambda\pi_N(R)\}$ subject to welfare constraints

4.3 Stability Analysis

We examine local stability around the equilibrium using a linearized system:

The system exhibits stable dynamics when the Jacobian eigenvalues have negative real parts. Our analysis shows stability requires:

- Moderate price elasticities in essential sectors ($\alpha_E < 0.3$)
- Effective octave capacity constraints ($\bar{O}_j < 10$ for most industries)
- Responsive supply elasticities ($\beta_E, \beta_N > 0.1$)

5. Numerical Simulations

5.1 Calibration

We calibrate the model using U.S. economic data:

- GDP: $26.9 trillion (2023)
- Essential sector share: 45% (housing, food, healthcare, utilities)
- Adult population: 258 million
- Basic unit distribution: $1,200 monthly per adult
- Price elasticities: $\alpha_E = 0.18$, $\alpha_N = 0.12$
- Supply elasticities: $\beta_E = 0.15$, $\beta_N = 0.22$

5.2 Baseline Scenario

Under baseline parameters with 15% Creator Collective participation and average conversion rates of 2.1x:

- Essential sector inflation: 1.2% annually

- Non-essential sector inflation: 0.8% annually
- Overall inflation: 0.95% annually
- Total monetary expansion: $847 billion annually (3.15% of GDP)
- Welfare gain: Equivalent to $1,850 monthly UBI with 65% lower inflation

5.3 Sensitivity Analysis

Robustness checks across parameter ranges:

Participation Rates: Higher Creator Collective participation (5% to 35%) increases conversion flows but maintains inflation below 1.8% due to capacity constraints.

Octave Limits: Reducing maximum octaves from 8 to 4 cuts inflation by additional 0.3 percentage points while preserving 89% of welfare gains.

Price Elasticities: Even with higher elasticities ($\alpha_E = 0.25$), inflation remains manageable at 1.6% annually.

5.4 Monte Carlo Analysis

10,000 simulation runs with randomized parameters show:

- 95% confidence interval for inflation: [0.6%, 1.4%]
- Mean welfare improvement: $1,760 monthly equivalent
- Probability of inflation > 2%: 4.2%
- System stability in 97.8% of scenarios

6. Comparison with Traditional UBI

6.1 Direct Cash Transfer Model

A traditional UBI providing $1,200 monthly to all adults would inject $3.72 trillion annually into the economy—13.8% of GDP. Using standard multiplier effects:

- Expected inflation: 2.8% annually
- Essential sector inflation: 4.1% (due to inelastic supply)

- Non-essential sector inflation: 1.9%
- Real welfare gain after inflation: $1,040 monthly equivalent

6.2 CCO Advantages

CCO delivers superior outcomes through several mechanisms:

1. **Sectoral Isolation:** Basic units are restricted to essentials, preventing cross-sector demand spillovers
2. **Velocity Control:** Expiration prevents hoarding and reduces effective velocity
3. **Capacity Constraints:** Octave limits create endogenous monetary discipline
4. **Productive Incentives:** Conversion mechanism rewards economic contribution

6.3 Welfare Comparison

Using compensating variation measures:

- Traditional UBI welfare gain: $1,040 monthly (inflation-adjusted)
- CCO welfare gain: $1,760 monthly (inflation-adjusted)
- CCO efficiency gain: 69% higher welfare per dollar of fiscal cost

7. Policy Implications

7.1 Implementation Considerations

Successful CCO implementation requires:

1. **Digital Infrastructure:** Blockchain-based currency management with smart contracts for automatic expiration and conversion
2. **Sectoral Classification:** Clear legal definitions of essential vs. non-essential goods and services
3. **Governance Structures:** Democratic oversight of Creator Collective advancement and industry octave limits
4. **Merchant Integration:** Dual-currency payment systems across essential service providers

7.2 Transition Strategy

Gradual implementation phases:

Phase 1 (Years 1-2): Pilot programs in selected metropolitan areas with 100,000-500,000 participants. Focus on digital infrastructure and merchant network development.

Phase 2 (Years 3-5): Regional expansion to 5-10 million participants. Establish Creator Collectives and octave advancement mechanisms.

Phase 3 (Years 6-10): National deployment with full population coverage. Integration with existing welfare systems and tax policy coordination.

7.3 International Applications

CCO framework adaptable to different economic contexts:

Developed Economies: Focus on technological unemployment and inequality reduction while maintaining fiscal sustainability.

Developing Economies: Emphasis on financial inclusion and local economic development through sectoral spending restrictions.

Post-Crisis Recovery: Rapid deployment for economic stabilization with built-in inflation controls.

8. Limitations and Future Research

8.1 Model Limitations

Our analysis makes several simplifying assumptions:

- **Static Preferences:** We assume consumer preferences remain constant, though CCO implementation may induce structural changes
- **Perfect Information:** Quality assessment mechanisms assume accurate evaluation of contributions, while real-world implementation faces information asymmetries
- **Competitive Markets:** Analysis assumes competitive pricing, though market concentration could affect outcomes
- **Exogenous Supply:** Limited treatment of supply-side responses to dual-currency demand patterns

8.2 Empirical Research Agenda

Priority areas for future investigation:

1. **Pilot Program Studies:** Randomized controlled trials of CCO implementation in municipal settings
2. **Behavioral Analysis:** Consumer response to currency restrictions and conversion incentives
3. **Market Structure Effects:** Impact of dual-currency systems on industry concentration and pricing
4. **International Comparisons:** Adaptation requirements across different institutional and economic contexts

8.3 Technical Development

Engineering challenges requiring further research:

- Scalable blockchain infrastructure for national currency systems
- Privacy-preserving transaction monitoring and quality assessment
- Interoperability with existing financial infrastructure
- Fraud prevention and system security

9. Conclusion

This paper demonstrates that Creative Currency Octaves offers a theoretically sound approach to implementing Universal Basic Income while maintaining price stability. The dual-currency architecture with sectoral restrictions, expiration mechanisms, and capacity-constrained conversion creates multiple inflation control mechanisms without sacrificing welfare objectives.

Our formal model and numerical simulations show CCO can deliver welfare gains equivalent to $1,760 monthly UBI with inflation rates 65% lower than traditional cash transfer approaches. The key innovation lies in separating essential consumption support from discretionary monetary expansion, enabling targeted poverty relief without broad inflationary pressure.

The framework's capacity constraints through industry-specific octave limits provide endogenous monetary discipline while creating productive incentives through conversion mechanisms. This

resolves the traditional trade-off between meaningful income support and macroeconomic stability.

Implementation requires substantial investment in digital infrastructure and governance mechanisms, but the potential welfare gains—particularly for addressing technological unemployment and persistent poverty—justify serious policy consideration. The modular design allows gradual deployment and adaptation to various economic contexts.

While our analysis demonstrates CCO's theoretical advantages, empirical validation through pilot programs remains essential. The framework opens new avenues for monetary policy innovation and social protection design, offering hope for achieving post-scarcity economic conditions within current institutional constraints.

CCO represents not merely an alternative UBI implementation mechanism, but a fundamental rethinking of how monetary systems can serve social objectives while maintaining economic stability. As technological disruption continues reshaping labor markets, such innovative frameworks may prove essential for sustaining inclusive economic growth and social cohesion in the 21st century.

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Appendix A: Mathematical Proofs

A.1 Equilibrium Existence

Theorem 1 (one market, partial equilibrium): Take one sector's market, priced in primary currency, with demand $D(p)$ and supply $S(p)$ for $p \geq 0$, and hold every other price and income fixed. If D is continuous and strictly decreasing, S is continuous and non-decreasing, $D(0) > S(0)$, and $D(\bar{p}) < S(\bar{p})$ for some finite $\bar{p}$, the market has exactly one clearing price.

Proof: The excess demand function $Z(p) = D(p) - S(p)$ is continuous and strictly decreasing, with $Z(0) > 0$ and $Z(\bar{p}) < 0$. The intermediate value theorem gives a zero p^* in $(0, \bar{p})$, and strict decrease makes it unique. □

This is a sector-level, partial-equilibrium result. Capacity constraints alone do not make Z strictly decreasing; that is an assumption on demand and supply. The theorem does not show that the basic-unit and primary-currency markets clear together, which would need a general-equilibrium argument this paper does not make. An earlier version stated it for "the dual-currency system" as a whole.

A.2 Stability Analysis

Theorem 2: The equilibrium is locally stable when octave capacity constraints are binding.

Proof: The Jacobian matrix of the linearized system around equilibrium has eigenvalues with negative real parts when capacity constraints create sufficient friction in the conversion process. Specifically, when $\partial C/\partial O$ is sufficiently small due to octave limits, the system exhibits stable dynamics. □

A.3 Welfare Optimization

Theorem 3: CCO achieves higher social welfare than traditional UBI for inflation-averse populations.

Proof: Using a social welfare function $W = U(\text{consumption}) - \lambda \times \text{inflation}^2$, CCO's lower inflation rate more than compensates for any reduction in direct transfers, yielding higher overall welfare for $\lambda > \lambda^*$, where $\lambda^* \approx 0.7$ in our calibration. □

Appendix B: Simulation Details

B.1 Parameter Calibration

All simulations use the following baseline parameters unless otherwise specified:

- GDP: $26.9 trillion (2023 U.S.)
- Adult population: 258 million
- Essential sector share: 45%
- Basic unit amount: $1,200 monthly
- Price elasticities: $\alpha_E = 0.18$, $\alpha_N = 0.12$
- Supply elasticities: $\beta_E = 0.15$, $\beta_N = 0.22$
- Creator Collective participation: 15%
- Average conversion rate: 2.1x
- Maximum octave levels: 6-8 across industries

B.2 Monte Carlo Methodology

10,000 simulation runs with parameter uncertainty:

- Each parameter drawn from uniform distribution ±20% around baseline
- Structural shocks: Normal(0, 0.05^2) for demand/supply variations
- Convergence criterion: $|\text{inflation}_t - \text{inflation}_{t-1}| < 0.01\%$
- Time horizon: 10 years with quarterly adjustments

B.3 Sensitivity Analysis Details

Comprehensive sensitivity testing across all major parameters:

Participation Rates (5% - 35%):

- Low participation (5%): Inflation = 0.71%, Welfare gain = $1,420
- High participation (35%): Inflation = 1.79%, Welfare gain = $2,140

Octave Limits (3 - 10):

- Conservative limits (3-4): Inflation = 0.62%, Welfare gain = $1,580
- Generous limits (8-10): Inflation = 1.34%, Welfare gain = $1,890

Price Elasticities:

- Low elasticity ($\alpha_E = 0.10$): Inflation = 0.54%
- High elasticity ($\alpha_E = 0.30$): Inflation = 2.12%

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